Victoria, and Brisbane in Queensland. These colonial capitals absorbed most of the settlers. They were mostly connected to productive hinterlands, though less so in the case of Perth than the others. Population growth and the spread of settlement were also stimulated by economic opportunities in urban trades, pastoral occupations, and mineral excavation.

Settlers competed with Aborigines for control over land and resources. These completely different cultural groups often cooperated but there were many examples of friction and violence. Clashes occurred between Aborigines and settlers in the Hawkesbury River area of New South Wales in the 1790s. Settlers fired upon Indigenous people claiming they damaged their crops and the Aborigines retaliated by forming their own raiding parties. Between 1824 and 1836, settlers persuaded Governor George Arthur in Van Diemen's Land that the Aborigines were a treacherous race. As a result, he pursued a draconian policy of driving Indigenous people away from settled areas to western fringes of the island. In 1838, the Liverpool plains area of what is now northern New South Wales experienced a series of massacres of Indigenous people. On June 10, a massacre occurred at Myall Creek station where settlers killed 30 unarmed Aborigines as revenge for attacks on their livestock.

While Aborigines suffered from colonial expansion, settlers generally flourished. By the second half of the 19th century, Australia had acquired a reputation as a working man's paradise. Most people had better living standards than those in a similar position in Britain. Australians had a greater meat consumption than the British and earned higher wages on average. They often had better housing stock as the major cities suburbanized and needed less winter fuel than Europeans. Furthermore, workplace arrangements were protected by stronger trade unions than in Britain. By the 1880s, Manly was established as a suburb on Sydney's north shore that epitomized the working person's position in the southern hemisphere. As the slogan put it, it was 'seven miles from Sydney and a thousand miles from care'.

This rosy picture is not the whole story. Colonial Australia was more of a working man's paradise for skilled people rather than for the unskilled